

them.)

Source: SuperRatings Pty Ltd ABN: 95 100 192 283 AFSL: 311 880

Note: Any calculations that stretch out 55 years into the future involve assumptions. Here are mine: I could have calculated the figures without adjusting for inflation—but in the future there will be inflation—so I've factored this into my calculations on salary and investment returns; I've assumed there is no increase to compulsory super, or any tax changes; these investment returns are calculated using 6 per cent after inflation. (Over the past 29 years, the Aussie share market has achieved 8 per cent after inflation.)

Step 3: Forget about it

Here's the final piece of advice I gave to my nephews:

'I want you to summon up every ounce of indifference that you have and NOT look at your super fund for at least the next 30 years. If you look at it, you may stress yourself out. So do yourself a favour and forget about it and let it do its thing.'

Great advice, and it works well if you've chosen your own low-cost fund (and it remains a low-cost fund).

However, if you have a default fund and you switch to a new employer, they'll probably just stick your super in *their* default fund. Don't get caught in the trap of having multiple super funds (with multiple fees). Make sure you transfer your super to the new fund (it's called a 'rollover'). Also, when you can, get yourself into your own low-cost fund.

Well done!

If you've got to here, and understood most of what I've said, then well done. I often say that compound interest is the great leveller in life . . . and you're now not only one of the few people your age who understands it.

Even better: you're now living it.

And with that, please pass this book back to your parents.